

experience. Our main concerns in the early days dealt with the following questions: What should we build and for whom? What market could we enter and dominate? How could we build durable value that would not be subject to erosion by competition?¹

Brilliant Strategy

We decided to enter the instant messaging (IM) market. In 2004, that market had hundreds of millions of consumers actively participating worldwide. However, the majority of the customers who were using IM products were not paying for the privilege. Instead, large media and portal companies such as AOL, Microsoft, and Yahoo! operated their IM networks as a loss leader for other services while making modest amounts of money through advertising.

IM is an example of a market that involves strong network effects. Like most communication networks, IM is thought to follow Metcalfe's law: the value of a network as a whole is proportional to the square of the number of participants. In other words, the more people in the network, the more valuable the network. This makes intuitive sense: the value to each participant is driven primarily by how many other people he or she can communicate with. Imagine a world in which you own the only telephone; it would have no value. Only when other people also have a telephone does it become valuable.

In 2004, the IM market was locked up by a handful of incumbents. The top three networks controlled more than 80 percent of the overall usage and were in the process of consolidating their gains in market share at the expense of a number of smaller players.² The common wisdom was that it was more or less impossible to bring a new IM network to market without spending an extraordinary amount of money on marketing.

The reason for that wisdom is simple. Because of the power of network effects, IM products have high switching costs. To switch from one network to another, customers would have to convince